Notes: All tables and figures are presented except for Table 6, Table 7, Figure 3 and Figure 4. These exceptions use the data files under Table6_7 and Figur4, which include around 900000 plant level data. My stata on my laptop kept running the regression with more than 10 minutes. It is probably due to my laptop condition that would take a longer time to generate the final results. Thus, currently I could not provide the replication results for these four table/figures.

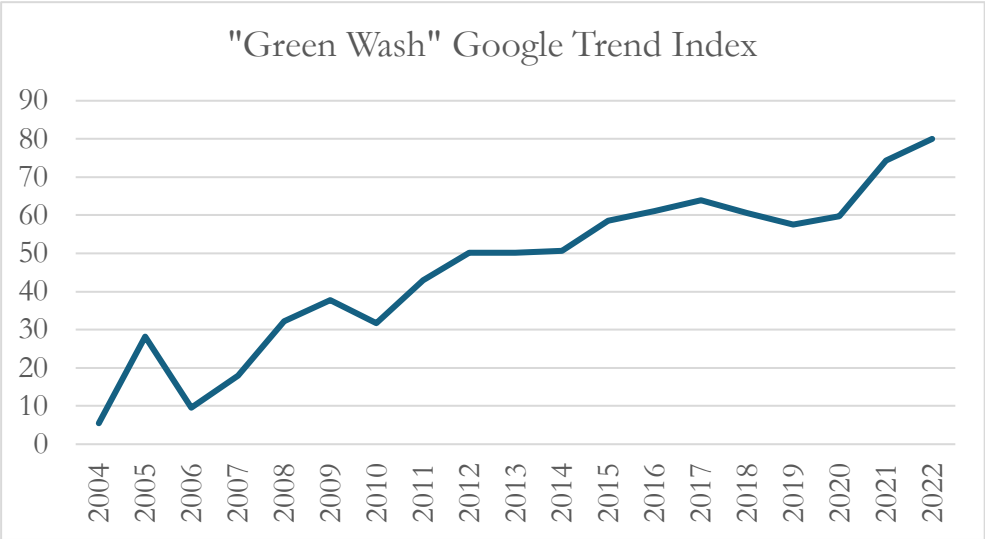

Figure 1

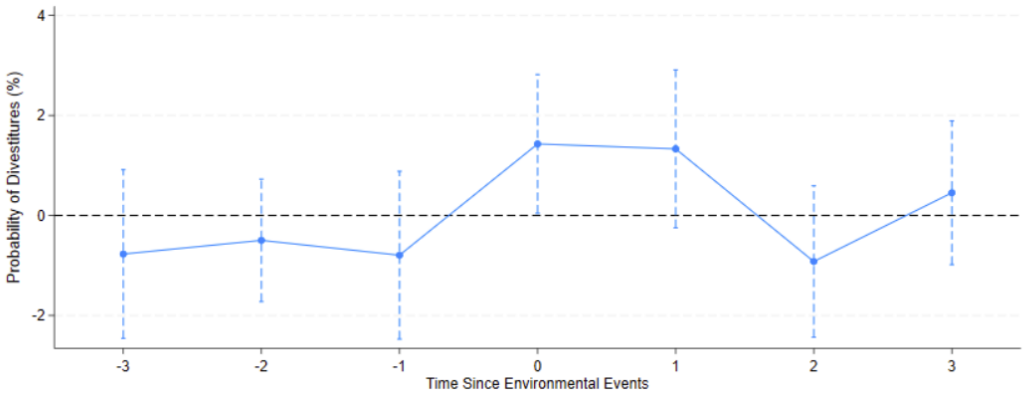

Figure 2

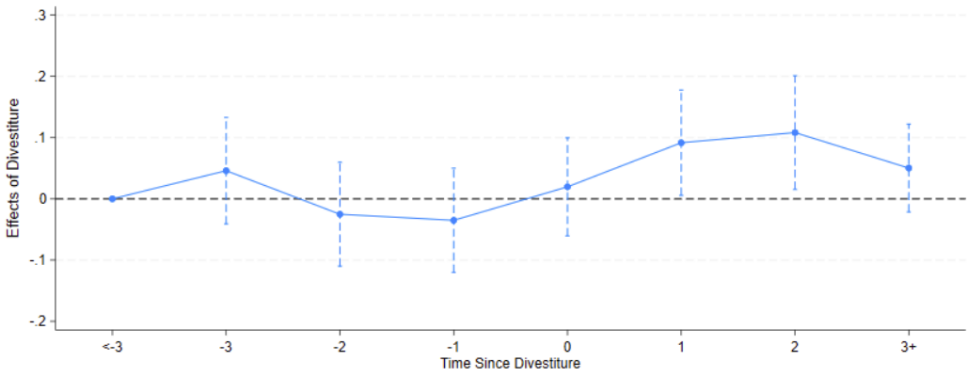

Figure 5 panel A

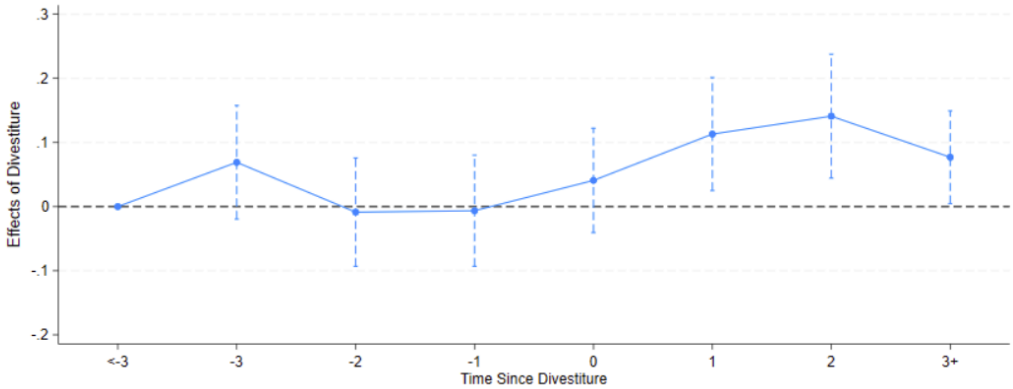

Figure 5 panel B

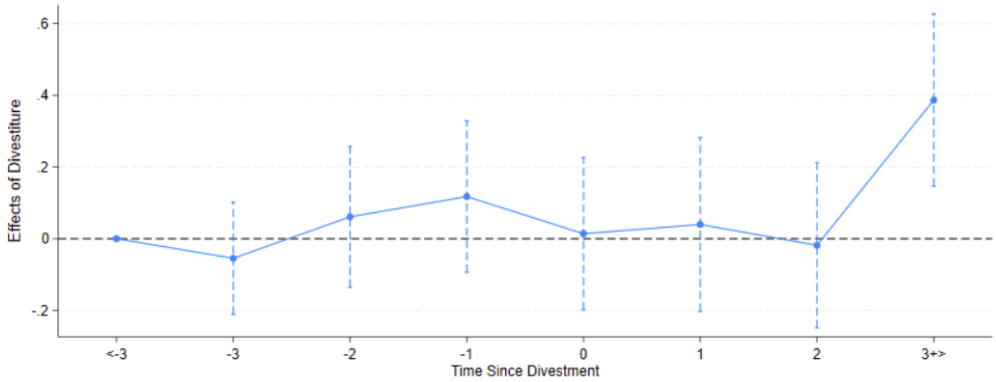

Figure 5 panel C

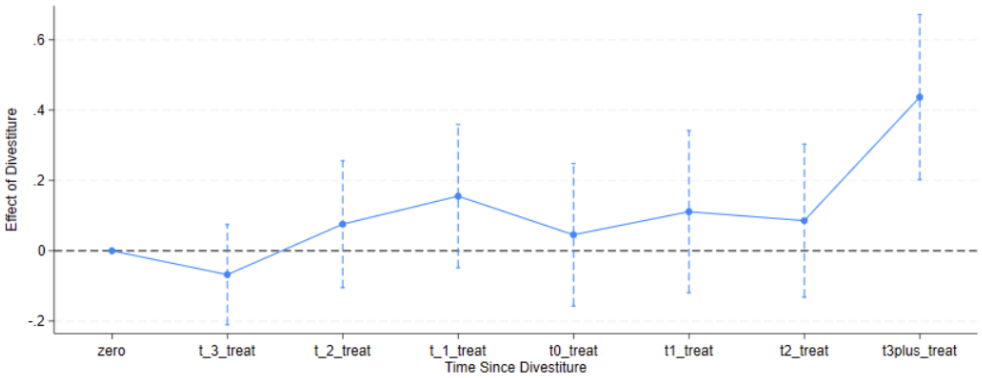

Figure 5 panel D

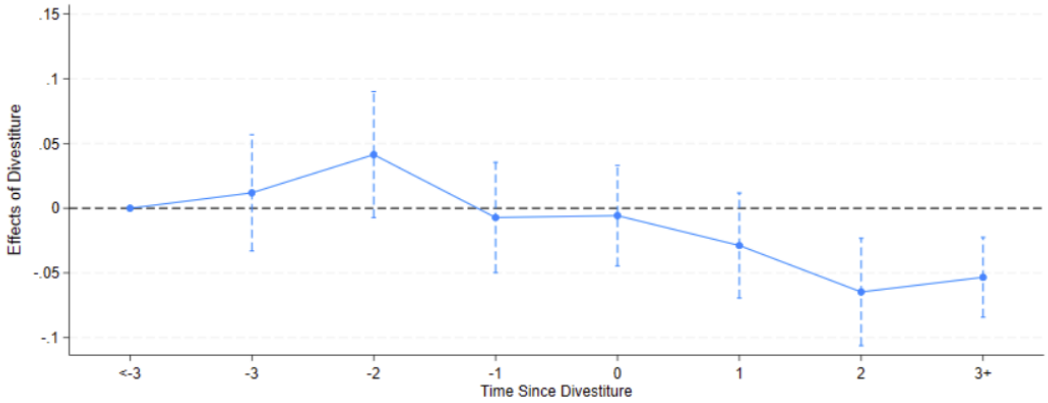

Figure 5 panel E

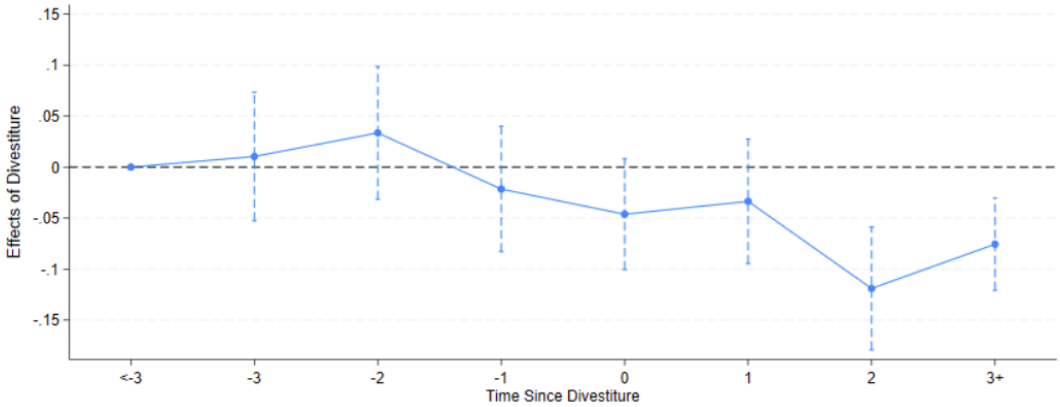

Figure 5 panel F

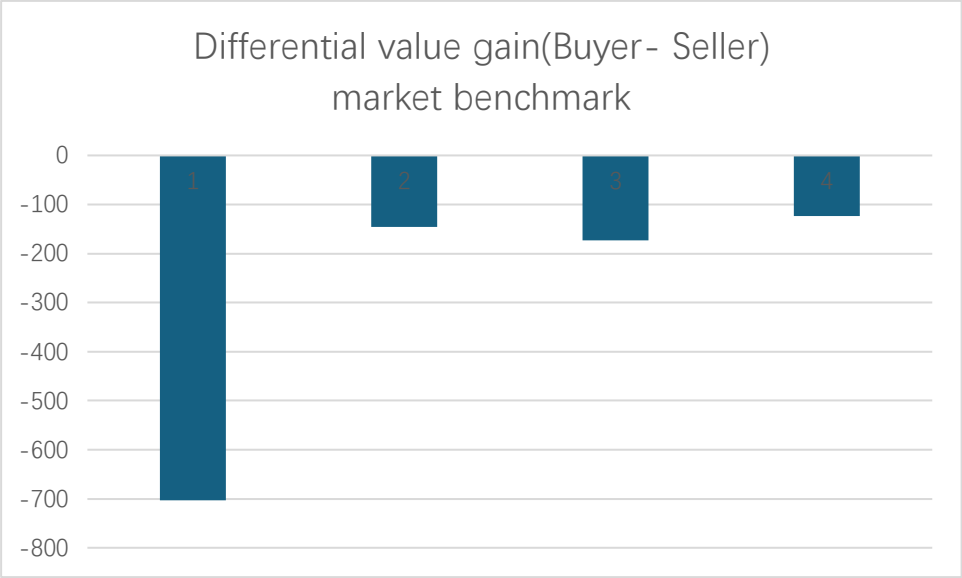

Figure 6 panel a

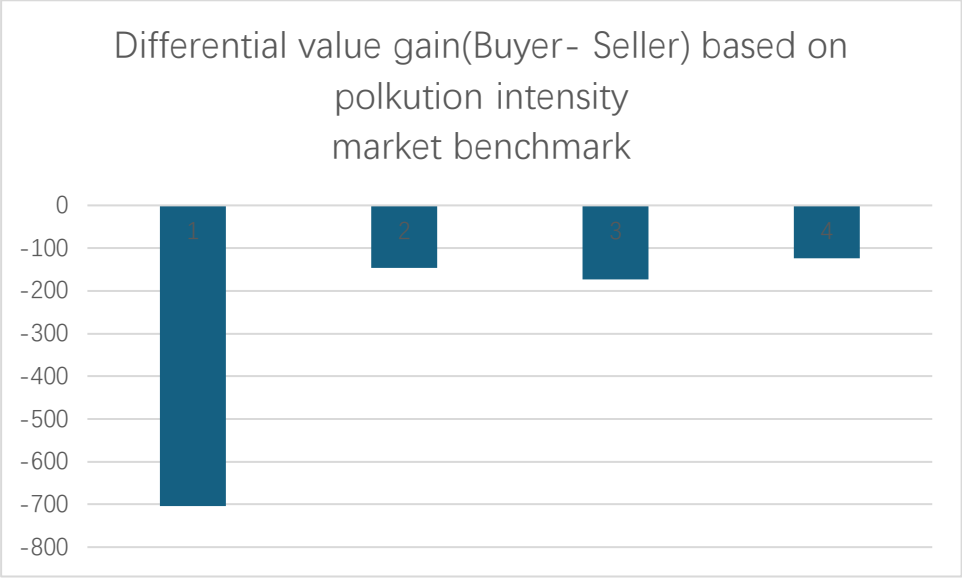

Figure 6 panel b

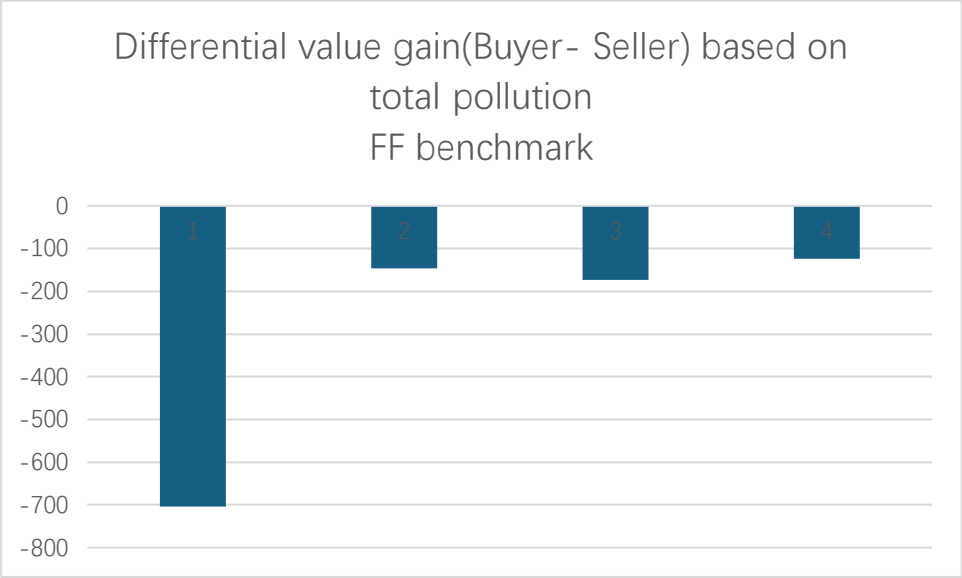

Figure 6 panel C

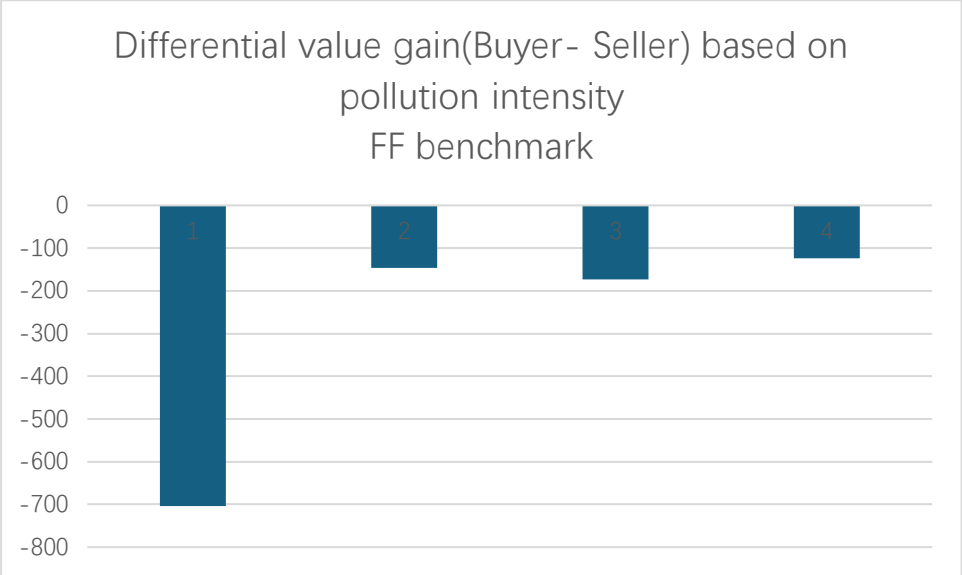

Figure 6 panel d

Variable	N	Mean	Median	SD	P25	P75
Sell (Pollutive) (%)	19,459	1.9	0	13.64	0	0
Rated	19,459	0.55	1	0.5	0	1
Democratic HQ	17,936	0.66	1	0.47	0	1
Pension Holdings	19,459	0.46	0	0.5	0	1
Env. Event	11,680	0.19	0	0.39	0	0
Pressure Index	19,459	0.49	0.5	0.3	0.25	0.75
#Segments	15,303	3.48	3	2.18	1	5
#Industries	12,954	1.71	1	1.04	1	2
#Subsidiaries	10,646	68.4	27	149.7	9	72
#Layers	10,443	2.34	2	1.31	1	3
%Blockholders	19,459	0.2	0.19	0.16	0.06	0.3
CSR Score (KLD)	30,488	0.28	0	2.23	−1.00	1
Environment Score (KLD)	30,488	0.16	0	0.8	0	0
Enforcement Action	18,673	0.07	0	0.26	0	0
Enforcement Cost ($Mil)	18,673	2.93	0	94.56	0	0
Positive Env. Disclosure	38,061	0.12	0	0.32	0	0
Negative Env. Disclosure	38,061	0.06	0	0.24	0	0
Q	19,184	1.77	1.43	1.51	1.13	1.97
Leverage	19,402	0.26	0.25	0.19	0.13	0.37

Cash Holding	19,438	0.12	0.07	0.14	0.02	0.16
Tangibility	19,437	0.3	0.24	0.2	0.14	0.41

Table 1 panel a

Variable	N	Mean	Median	SD	P25	P75
Total Pollution	1,056,361	16,893	483	60,761	14.45	5,300
Pollution Intensity	1,056,361	25,227	454.3	102,924	15.57	5,702
#Source Reduction	1,242,312	1.97	0	4.76	0	1
%Recycling	1,056,361	24.4	0	40.64	0	46.38
%Recovery	1,056,361	8.37	0	24.08	0	0
%Treatment	1,056,361	26.06	0	39.51	0	58.82

Table 1 panel b

Variable		(1) Divestitures	(2) Closure Only	(3) Abatement Only	(4) Closure & Abatement	Observations	Pseudo-R^2
Rated	Coef.	0.017***	0.032***	0.022***	0.012***	12,764	0.0171
	S.E.	-0.002	-0.006	-0.006	-0.003		
	Rel Magnitude	85.86%	22.41%	14.56%	30.15%		
Pension Holdings	Coef.	0.017***	0.054***	0.015**	0.024***	12,764	0.0208
	S.E.	-0.002	-0.006	-0.006	-0.003		
	Rel Magnitude	85.86%	37.82%	9.93%	60.30%		
Democratic HQ	Coef.	0.005**	0.021***	0.009	0.004	12,127	0.0127
	S.E.	-0.003	-0.007	-0.007	-0.003		
	Rel Magnitude	25.25%	14.71%	5.96%	10.05%		
Env. Event	Coef.	0.028***	0.067***	0.007	0.022***	7,606	0.0221

	S.E.	-0.005	-0.011	-0.011	-0.006		
	Rel Magnitude	141.41%	46.92%	4.63%	55.28%		
Pressure Index	Coef.	0.037***	0.114***	0.047***	0.043***	12,764	0.0262
	S.E.	-0.003	-0.011	-0.011	-0.005		
	Rel Magnitude	54.19%	23.15%	9.02%	31.33%		
Firm Char		Yes	Yes	Yes	Yes		

Table 2

Dep. Var.: Sell (Pollutive)(%)	(1) Rated	(2) Pension Holdings	(3) Democratic HQ	(4) Env. Event	(5) Pressure Index
Environmental Pressure	1.214***	0.720***	0.590**	1.897***	2.110***
	-0.303	-0.269	-0.278	-0.506	-0.593
Industry-Year FE	Yes	Yes	Yes	Yes	Yes
Firm Char	Yes	Yes	Yes	Yes	Yes
Observations	18,826	18,826	17,369	11,295	18,826
R^2	0.059	0.059	0.056	0.072	0.06

Table 3 panel a

Dep. Var.: Sell (Pollutive)(%)	(1) Quantity	(2) Quantity (Qtile)	(3) Intensity	(4) Intensity (Qtile)
Pressure Index × Pollution	0.693***	2.568***	0.514**	1.264**
	(0.157)	(0.615)	(0.234)	(0.604)
Pollution	−0.123*	−0.379	−0.116	−0.302
	(0.074)	(0.306)	(0.119)	(0.284)
Pressure Index	−2.384**	−2.341*	3.142***	1.852
	(1.129)	(1.198)	(0.902)	(1.415)
Industry-Year FE	Yes	Yes	Yes	Yes
Firm Char	Yes	Yes	Yes	Yes
Observations	12,084	12,084	11,742	11,742

Dep. Var.: Sell (Pollutive)(%)	(1) Quantity	(2) Quantity (Qtile)	(3) Intensity	(4) Intensity (Qtile)
R^2	0.078	0.079	0.074	0.075

Table 3 panel b

Dep. Var.: Sell (Pollutive)(%)	(1)	(2)	(3)	(4)
Environmental Event	1.068**	1.077**	1.133**	1.074*
	-0.535	-0.542	-0.544	-0.615
Social Event			−0.219	−0.490
			-0.43	-0.449
Governance Event			0.491	0.416
			-0.532	-0.599
Firm FE	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	
Firm Char		Yes	Yes	Yes
Industry-Year FE				Yes
Observations	11,629	11,436	11,436	11,243
R^2	0.138	0.141	0.141	0.189

Table 4

Dep. Var.:	(1) Public	(2) Rated	(3) Pension Holdings	(4) Democratic HQ	(5) Env. Event	(6) Pressure Index
Buyer	−0.055**	−0.047**	−0.030	−0.054**	−0.052**	−0.059***
	-0.024	-0.022	-0.021	-0.028	-0.023	-0.016
Observations	1,776	1,776	1,776	1,155	968	1,776
R^2	0.003	0.003	0.001	0.003	0.005	0.008

Table 5

Dep. Var.: Sell (Pollutive)(%)	(1) #Segments	(2) #Industries	(3) #Subsidiaries	(4) #Layers	(5) %Blockholders
Pressure Index × Info. Asymmetry	0.823**	2.102**	0.018*	1.773**	−5.610*
	-0.35	-0.889	-0.01	-0.774	-3.2
Info. Asymmetry	0.028	−0.287	−0.004	−0.324	2.127
	-0.186	-0.414	-0.006	-0.349	-1.57
Pressure Index	−1.003	−1.999	1.525**	−1.157	3.152***
	-1.006	-1.366	-0.706	-1.681	-0.858
Industry-Year FE	Yes	Yes	Yes	Yes	Yes
Firm Char	Yes	Yes	Yes	Yes	Yes
Observations	14,790	12,449	10,311	10,114	18,826
R^2	0.063	0.072	0.077	0.079	0.06

Table 8

VARIABLES	(1) Buyer (Pollutive)	(2) Develop New Relationship
Operationally Related	0.651***	
	(0.099)	
Buyer (Pollutive)		0.069***
		(0.013)
Observations	3,576	3,576
R-squared	0.040	0.247

Table 9 panel a

VARIABLES	(1) Divested	(2) Divested	(3) Divested
Pressure Index, Own	0.018***	0.018***	0.018***
	(0.005)	(0.005)	(0.005)
Pressure Index, Connected Firms' Min	-0.007*	-0.009**	-0.008*
	(0.004)	(0.004)	(0.004)
Observations	11,824	11,514	11,107
R-squared	0.015	0.075	0.080

Table 9 panel b

VARIABLES	(1) Positive Env Disclosure	(2) Positive Env Disclosure	(3) Positive Env Disclosure	(4) Negative Env Disclosure	(5) Negative Env Disclosure	(6) Negative Env Disclosure	(7) Positive Env Disclosure	(8) Negative Env Disclosure
Seller(Pollutive) X Post	0.060**	0.051*	0.056*	-0.003	-0.008	0.002	0.062**	0.005
	(0.030)	(0.031)	(0.031)	(0.021)	(0.022)	(0.021)	(0.031)	(0.021)
Observations	37,923	37,796	33,873	37,923	37,796	33,873	237,867	237,867
R-squared	0.468	0.499	0.520	0.659	0.688	0.711	0.496	0.712

Robust standard errors parentheses *** p<0.01, ** p<0.05, * p<0.1

Table 10

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Seller (Pollutive) × Post	0.461**	0.302*	0.302*	0.341*	0.385***	0.234***	0.234***	0.245***
	-0.187	-0.178	-0.18	-0.187	-0.087	-0.086	-0.087	-0.091
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes				Yes			
Industry-Year FE		Yes	Yes	Yes		Yes	Yes	Yes
Firm Char			Yes	Yes			Yes	Yes
Observations	29,683	29,536	29,273	133,621	29,683	29,536	29,273	133,621

R^2	0.672	0.709	0.709	0.71	0.574	0.63	0.63	0.621

Table 11 panel a

VARIABLES	(1) Enforcement Action	(2) Enforcement Action	(3) Enforcement Action	(4) Enforcement Costs	(5) Enforcement Costs	(6) Enforcement Costs	(7) Enforcement Action	(8) Enforcement Costs
Seller(Pollutive) X Post	-0.048***	-0.048***	-0.050***	-2.140***	-2.708***	-3.332***	-0.073***	-4.376***
	(0.012)	(0.013)	(0.013)	(0.695)	(0.676)	(1.016)	(0.018)	(1.033)
Observations	18,620	18,333	17,129	7,261	5,924	5,495	129,439	52,347
R-squared	0.283	0.314	0.320				0.289	
Pseudo R2				0.701	0.787	0.815		0.876

Table 11 panel b

VARIABLES	(1) Seller CAR[-1 +1] Market Quantity	(2) Seller CAR[-1 +1] Market Intensity	(3) Seller CAR[-1 +1] FF Quantity	(4) Seller CAR[-1 +1] FF Intensity
pollution_quartile	0.010	0.011**	0.012**	0.013
	(0.000)	(0.005)	(0.004)	(0.000)
Observations	277	246	278	246
R-squared	0.307	0.410	0.307	0.429

Table 12

VARIABLES	(1) CAR[-1 1] Market	(2) CAR[-1 1] Market	(3) CAR[-1 1] FF	(4) CAR[-1 1] FF

Positive Env Disclosure = 1	0.000	0.001	0.000	0.001
	(0.001)	(0.001)	(0.001)	(0.001)
divest = 1	-0.001	-0.000	-0.001	0.000
	(0.001)	(0.001)	(0.001)	(0.001)
1.have_pos_ml#1.divest	0.005**	0.005*	0.005*	0.004
	(0.002)	(0.003)	(0.002)	(0.003)
Observations	174,531	174,531	174,531	174,531
R-squared	0.000	0.002	0.000	0.001

Table 13 panel A

	(1)	(2)
	CAR[-1 1]	CAR[-1 1]
VARIABLES	Market	FF
Positive Env Disclosure	0.006**	0.006**
	(0.002)	(0.002)
Observations	2,144	2,144
R-squared	0.030	0.030

Table 13 panel b

Pressure Measure:	**(1) Public**	**(2) Rated**	**(3) Pension Holdings**	**(4) Democratic HQ**	**(5) Env. Event**	**(6) Pressure Index**
Buyer	−0.000	0.011***	−0.000	0.019***	−0.019***	0.001
	-0.003	-0.002	-0.002	-0.003	-0.002	-0.002
Observations	89,994	89,994	89,994	63,049	63,284	89,994
R^2	0	0	0	0	0.002	0

Table 14 panel a

VARIABLES	(1) Buyer (NonPollutive)	(2) Develop New Relationship
Operationally Related	-0.010	
	(0.014)	
Buyer (NonPollutive)		0.003
		(0.002)
Observations	265,003	265,003
R-squared	0.003	0.207

Table 14 panel b

VARIABLES	(1) Positive Env Disclosure	(2) Positive Env Disclosure	(3) Positive Env Disclosure	(4) Negative Env Disclosure	(5) Negative Env Disclosure	(6) Negative Env Disclosure
Seller(NonPollutive) X Post	-0.000	-0.000	0.000	0.011**	0.009**	0.010**
	(0.007)	(0.007)	(0.007)	(0.005)	(0.004)	(0.005)
Observations	37,816	37,689	33,815	37,816	37,689	33,815
R-squared	0.466	0.498	0.520	0.660	0.689	0.711

Table 14 panel c

	(1)	(2)	(3)	(4)	(5)	(6)
Seller (NonPollutive) × Post	0.068	0.05	0.047	−0.003	−0.001	−0.001
	-0.062	-0.062	-0.063	-0.029	-0.028	-0.029
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes			Yes		
Industry-Year FE		Yes	Yes		Yes	Yes
Firm Char			Yes			Yes
Observations	29,687	29,539	29,276	29,687	29,539	29,276
R^2	0.67	0.708	0.708	0.574	0.63	0.631

Table 14 panel d

VARIABLES	(1) Enforcement Action	(2) Enforcement Action	(3) Enforcement Action	(4) Enforcement Costs	(5) Enforcement Costs	(6) Enforcement Costs
Seller(NonPollutive) X Post	-0.011	-0.009	-0.010	0.149	0.819	1.246
	(0.008)	(0.008)	(0.008)	(0.791)	(1.095)	(1.100)
Observations	17,393	17,041	15,916	6,698	5,568	5,188
R-squared	0.280	0.314	0.321			
Pseudo R2				0.692	0.776	0.801

Table 14 panel e